generating a discussion, hopefully an informed one, on the deliberations of the TAC was indeed the intent behind the release of the minutes.

Given how often I differed with the majority view of the committee, I began to get uncomfortable about whether the members of the TAC would misunderstand the committee process. What if they thought that the whole TAC process was a charade, that the Reserve Bank had no respect for the views of the members but was simply going through the motions just so as to earn brownie points for its consultative approach?

But then this begs the question why I differed so often with the majority view of the TAC. It was clear was that this divergence arose from differences in the way we saw the growth–inflation balance. When the external members advised a softer approach, their motivation was the slowing growth and the recognition that the government was not doing anything about it, leaving an interest-rate cut as the only possible stimulus. On the other hand, from within the Reserve Bank, we saw inflation control as a prerequisite for sustainable growth and believed that interest rate was not a binding constraint for investment in the prevailing situation.

I was conscious that this differing judgement of the growth–inflation balance was not a sufficient explanation for the internal–external divide within the TAC since it would raise the logical follow-up question of why indeed did the two sides see the balance differently. Both sides draw their analytical foundations from the draft money macro report and the presentations at the meeting. It is in interpreting that analysis based on their experience and expertise that differences arise. I believe on both sides there was realization that inflation was being driven by demand-side pressures as well as supply shocks. Perhaps the external members assigned a higher weight to supply shocks and thought that monetary policy was an inappropriate instrument for tackling such an inflation, whereas we, from within the Reserve Bank, thought that no matter what the driver of inflation, monetary policy has to be the first line of defence as persistent high inflation can harden inflation expectations and accentuate the pressure. All this, of course, is in the realm of conjecture.